

motto “Do No Harm,” the framework brings together ethical principles, a time-bound action plan and practical guidelines for the industry, developers and, of course, regulators.

MEASURED APPROACH

Instead of suggesting new laws to govern AI, MeitY has opted for a measured approach that leans on existing laws.

This is because many of the risks that are emerging from the use of AI can be addressed through existing information technology (IT), data protection, intellectual property (IP), competition, media, employment and criminal laws.

Deepfakes used to impersonate individuals, for instance, can be tackled through the IT Act and the Bharatiya Nyaya Sanhita, the criminal code; the Digital Personal Data Protection (DPDP) Act regulates the use of personal data for training AI models without consent. The government indicated that a review of current laws will continue, allowing regulators to identify and plug any legal gaps.

“The country has experienced a significant increase in AI adoption across finance, e-commerce, government platforms and health-tech, along with a steady rise in model development by local start-ups,” says Devroop Dhar, Managing Director and co-founder at management consultancy Primus Partners.

“But India is following a different path from the major regulatory blocs. It is positioning itself between these strategies. The focus is on enabling growth while addressing potential harms that could impact a large and diverse population,” adds Dhar.

HOW NATIONS GOVERN AI



EU

More restrictive approach by classifying risks and establishing detailed obligations



USA

Relies on voluntary commitments and sector-led oversight



CHINA

Has implemented stricter controls on recommendation algorithms and generative AI providers



INDIA

Middle path, taking the best practices from all and firming up the Seven Sutras

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THE GLOBAL PLAYBOOK

Across the world, governments have been drawing lines in the sand on AI governance. The European Union moved first with its AI Act, classifying models by risk tier and imposing strict transparency, safety and data-governance rules.

The US, meanwhile, is leaning on voluntary pledges, industry standards and sector-specific oversight. China has implemented sweeping regulations on deepfakes, recommended algorithms and generative AI platforms, emphasising traceability, data security and platform accountability.

India’s guidelines are timely because they come at a time when the AI economy is approaching an inflection point. A study by the National Association of Software and Service Companies (Nasscom), the IT industry lobby, and the consultancy giant Boston Consulting Group (BCG) pegs the Indian AI market at \$17 billion by 2027. India’s policy think tank NITI Aayog’s AI for Viksit Bharat report says AI could inject up to \$1.7 trillion into the country’s economy by 2035.

The opportunity is immense, but the foundation is not yet India’s own. Technologies driving the global AI wave, including foundational models, cloud infrastructure and core software stacks, are still primarily built and controlled by overseas companies. With the ecosystem dominated by US and Chinese firms, India remains dependent on external systems.

The dependence creates strategic exposure to geopolitical shifts, export controls and technology access restrictions that can easily reshape India’s